

RIGETTI COMPUTING, INC.

(NASDAQ: RGTI)

A Pre-Revenue Science Project at a Multi-Billion-Dollar Valuation

SELL — \$5.00 Target

Equity Research Note · Technology — Quantum Computing · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
SELL	\$5.00	\$15.25	-67.2%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$5.2 bn (341.5 mn sh x \$15.25)	Annual burn	~\$70-80 mn
Net cash	~\$541 mn	EV / TTM sales	~350x
52-week range	~\$12.53 - \$58.15	Next catalyst	Technical milestones; financing windows
TTM revenue	~\$13 mn (mostly research contracts)		

1 Investment Thesis

Let us be plain: Rigetti Computing is a pre-revenue science project trading at a multi-billion-dollar valuation. The company generates on the order of \$10-15 million in annual revenue — mostly government research contracts, not commercial product sales — while burning \$70-80 million a year pursuing superconducting quantum computers. At \$15.25, the market capitalization prices a future in which fault-tolerant quantum computing arrives, Rigetti wins a meaningful share of it, and today's shareholders are not diluted into irrelevance along the way. We assign low probability to all three happening together. Our fair value is \$5.00, implying 67% downside. This is a speculative SELL: position sizing should reflect binary risk.

This is not a judgment on the physics. Superconducting qubits are a legitimate path to quantum computing, Rigetti operates its own fabrication facility (Fab-1), and the technical team has real credentials. It is a judgment on the timeline and the capital structure. Useful, fault-tolerant quantum computing — the kind that generates commercial revenue rather than research grants — is widely estimated at 5 to 15 years away, and the field is crowded with better-funded competitors: IBM and Google with effectively infinite R&D budgets, IonQ and D-Wave with their own public currencies. Breakthroughs in quantum error correction accrue to the field, not to any single small company.

The nearer-term math is unforgiving. At the current burn rate, Rigetti must return to capital markets repeatedly, and each raise — typically via at-the-market offerings into retail enthusiasm — dilutes existing holders. The stock has become a trading vehicle for quantum narrative momentum rather than a claim on discounted cash flows, because there are no cash flows to discount. Our \$5.00 fair value reflects the option value of the intellectual property, the talent, and the cash on hand, heavily discounted for the dilution required to survive to the end of the decade. At a \$70-80 million annual burn, five more years of development implies \$350-400 million of additional capital — roughly a doubling of the share count at current prices. Per-share option value decays with every offering; that decay is the core of our SELL.

Stated in venture-capital terms, since that is what this is: at \$15.25, Rigetti's enterprise value exceeds \$4 billion — a late-stage private valuation for a company with \$10-15 million of contract revenue and no product-market fit. Venture investors pay such prices with liquidation preferences, anti-dilution protection, and board control; public shareholders get none of those, only the dilution. The quantum-computing field will likely produce enormous value over the next two

decades; the question is how much of it accrues to today's common shareholders after the intervening financings, and our answer is: far less than \$15 per share.

The three paths from here

- **Dilutive survival (our base case, highest weight).** The company raises repeatedly at the mercy of sentiment, and per-share value decays regardless of technical progress. Steady technical progress preserves strategic IP value; dilution brings per-share fair value to \$3.52 in the model's base case.
- **Acquisition by a hyperscaler or defense prime (the genuine bull case).** Quantum talent and IP have strategic value — but for pre-revenue companies, takeouts typically occur at modest premiums. The market is pricing the acquisition as the expected outcome rather than the optimistic one.
- **Technical failure or funding exhaustion (the bear case).** Funding dries up or progress stalls; the equity retains only nominal IP value near \$1, floored at \$0 by limited liability.

2 Business Overview — What Rigetti Computing Is Doing

(Berkeley, California)

Rigetti Computing, Inc., founded in 2013 and headquartered in Berkeley, California, develops superconducting quantum processors and offers quantum-computing-as-a-service through cloud partners. The company operates Fab-1, a dedicated quantum-chip fabrication facility, and sells its Novera line of quantum processing units alongside research collaborations. Reported revenue is minimal and contract-based; the company is pre-profitability by a wide margin and funds operations through equity raises.

The competitive set spans IBM, Google, IonQ, D-Wave, and a deep bench of venture-backed startups pursuing trapped-ion, neutral-atom, and photonic approaches. Government research funding — a key revenue source — is subject to budget and policy shifts, and narrative-driven volatility means the shares trade on quantum sentiment, enabling sharp drawdowns unrelated to fundamentals.

What the company is doing now

- **Fab-1 is a real asset.** A dedicated quantum-chip fab is genuinely scarce infrastructure — it is the core of the strategic/IP value in our \$5.00.
- **Novera QPUs and cloud access are real products with negligible revenue.** Commercial traction is measured in research contracts, not product-market fit.
- **The financing cycle is the business model for now.** Quantum stocks trade on narrative momentum — government announcements, technical milestones, quantum-advantage headlines — and management rationally exploits these windows with at-the-market offerings. Each raise funds 12-18 months of burn and permanently increases the share count.

3 Financial Analysis

\$ mn	FY2023	FY2024	FY2025
Revenue	12.0	10.8	7.1
Free cash flow	-60	-62	-77
Net income	-75	-201	-216
Net cash (mid-2026)	—	—	541

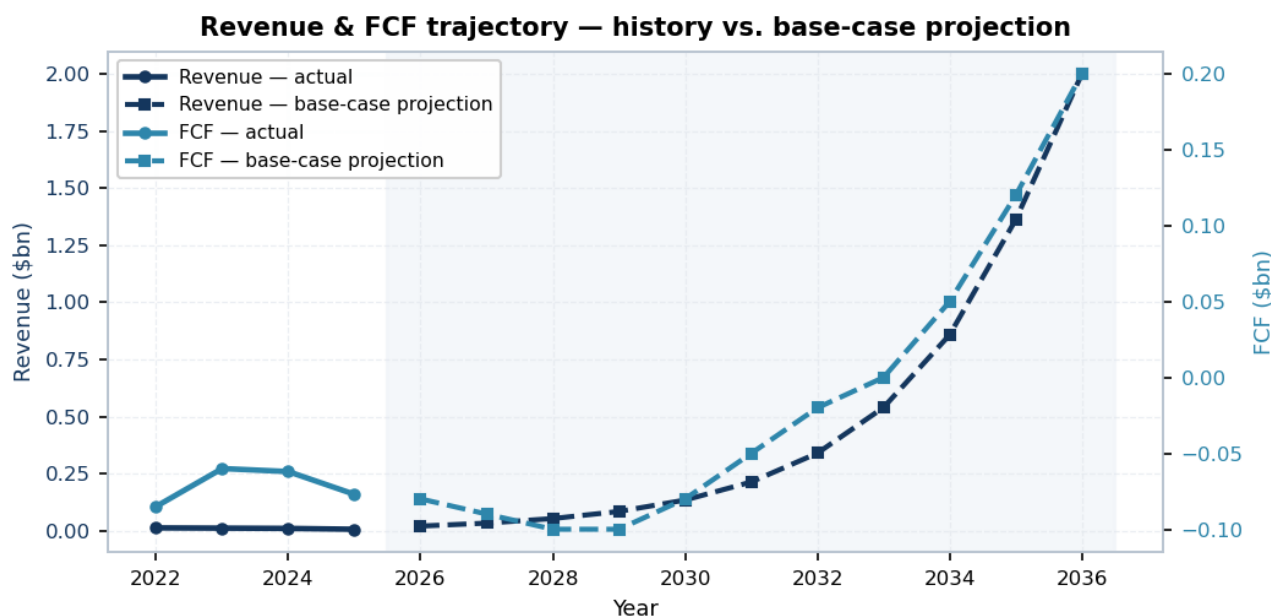
Source: company filings via yfinance; net cash per the valuation model (mid-2026). Fiscal year ends Dec 31.

Revenue has drifted from \$13.1 million in FY2022 to \$7.1 million in FY2025 — the wrong direction, though at this scale the absolute numbers barely matter. What matters is the burn: free cash flow of negative \$77 million in FY2025 against net cash of ~\$541 million, implying roughly seven years of runway at the current burn — except the burn rises as

technical ambitions scale, and the company's history is to raise well before the cash runs out.

Net losses have widened from \$72 million (FY2022) to \$216 million (FY2025). With 341.5 million pro-forma shares outstanding and effective share counts of 380-520 million across our scenarios, the capitalization table — not the technology — is the binding constraint on per-share value.

Revenue & cash-flow trajectory



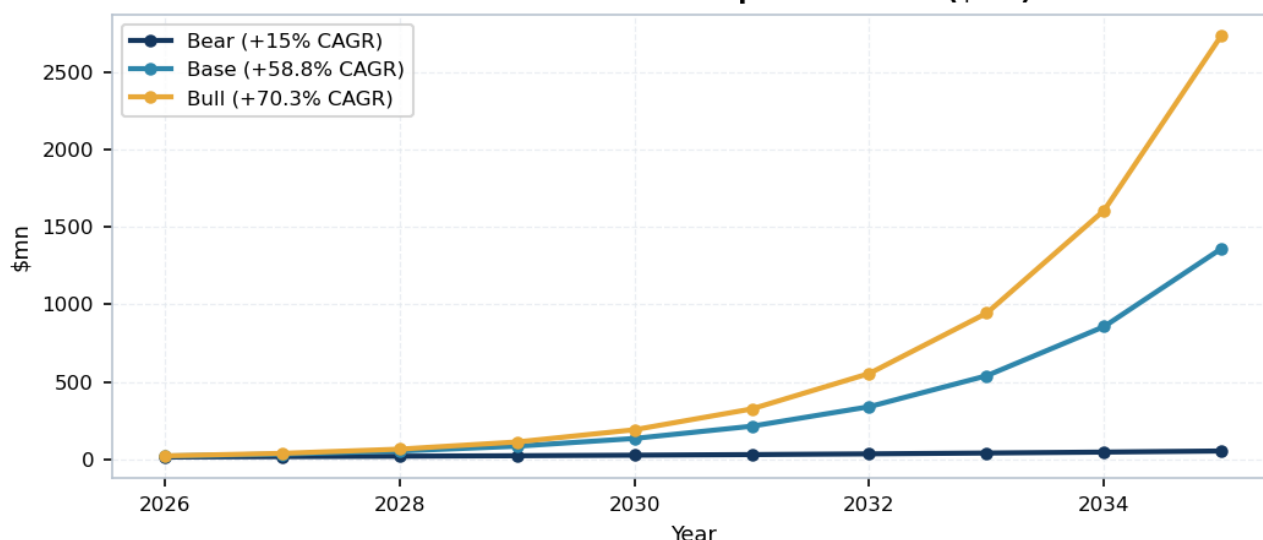
History: company filings via yfinance (FY ends Dec 31). Projection: base-case revenue path from this note's option-value model (58.8% CAGR to \$2.0 bn in 2035); FCF stays negative until late decade — the dilution runway.

4 Moat & Competition

- **Fab-1 and superconducting-qubit know-how.** A dedicated fab and a real technical team are genuine assets — the foundation of the IP/talent option value in our fair value.
- **No moat against better-funded competitors.** IBM and Google spend more on quantum in a quarter than Rigetti's entire market history of raises; breakthroughs in error correction accrue to the field.
- **No moat against the modality bet.** Superconducting qubits may lose to trapped-ion, neutral-atom, or photonic approaches — a technical risk no balance sheet can hedge.
- **The public currency is a wasting asset.** ATM offerings into retail enthusiasm fund the burn but permanently impair per-share value; the stock needs ever-larger narratives to sustain the price on an ever-larger share base.

Revenue — three scenario paths to 2035 (\$mn)

Revenue — three scenario paths to 2035 (\$mn)



5 Valuation — Scenario option-value framework (pre-revenue), Fair Value \$5

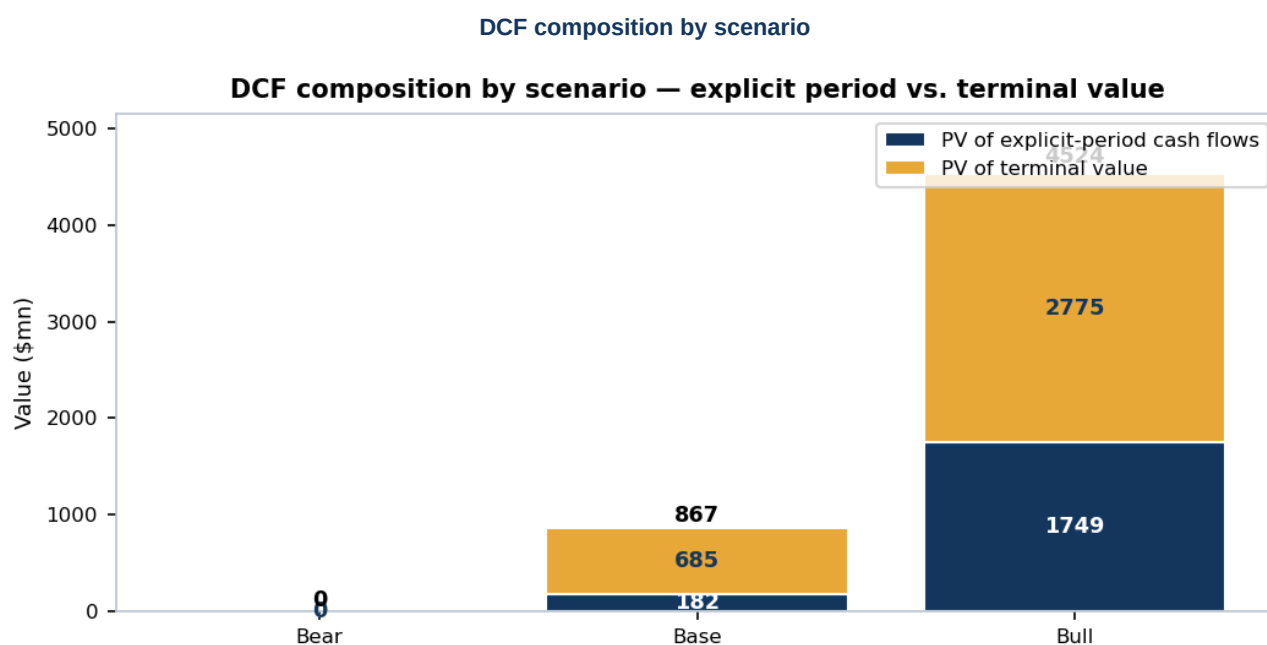
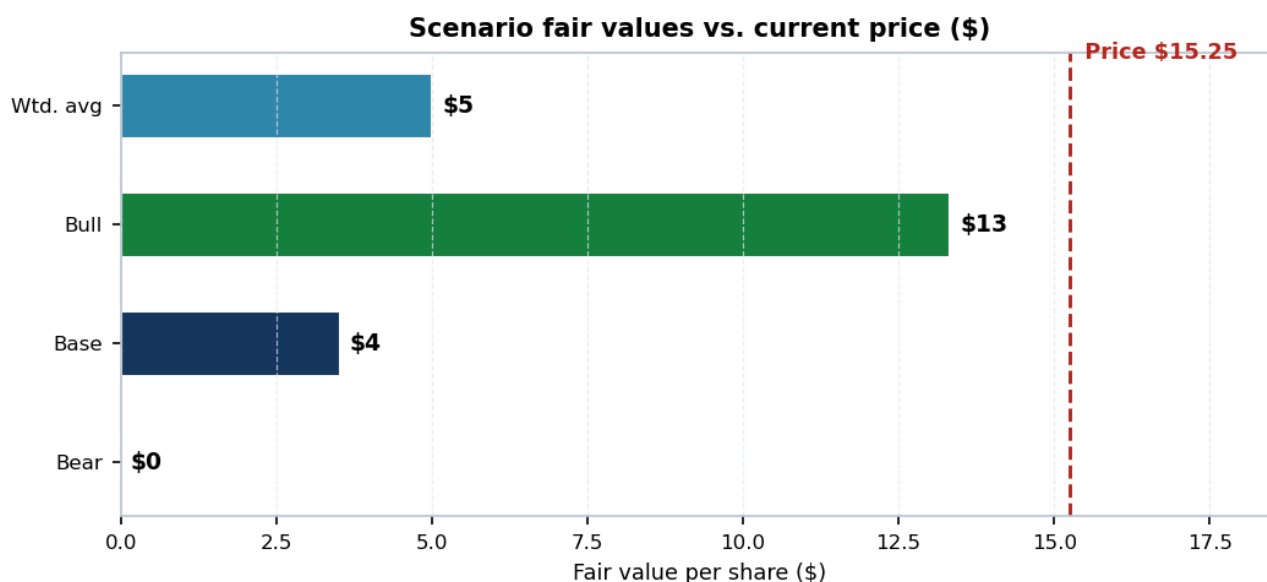
Traditional DCF is not meaningful for a pre-revenue company with no line of sight to positive cash flow; we value Rigetti on an option-value framework with scenario weights. The model applies a Gordon terminal on normalized mid-cycle FCF margins (12% / 20% / 25%) with speculative discount rates — bear 18.5%, base 16.0%, bull 14.5% — and terminal growth of 0% / 1.0% / 2.5%. Effective share counts of 520 / 400 / 380 million reflect the dilution required in each scenario.

In the bear case, funding dries up or technical progress stalls and the equity retains only nominal IP value, floored at \$0 by limited liability. In the base case, Rigetti survives to decade-end with steady technical progress (\$2.0 billion of 2035 revenue at a 58.8% CAGR), and dilution brings per-share fair value to \$3.52. In the bull case, quantum advantage arrives ~2029-30 and Rigetti takes meaningful share — \$13.33. Weighting 25% / 50% / 25% gives \$5.09, rounded to our \$5.00 target. Note the model's own caveat: even after haircutting terminal growth, the base-case terminal value is 79% of enterprise value — structural to pre-revenue quantum — which is disclosed, not hidden.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Funding dries up or technical progress stalls; dilutive raises continue; revenue peaks at \$90 mn in 2029 then declines; equity floored at \$0 (limited liability)	+15%	12%	18.5% / 0.0%	0%	\$0.00
Base	Survives to decade-end with steady technical progress; 2035 revenue \$2.0 bn; IP and talent hold strategic value; dilution to 400 mn shares	+58.8%	20%	16.0% / 1.0%	79%	\$3.52
Bull	Quantum advantage ~2029-30; Rigetti takes meaningful share; 2035 revenue \$5.0 bn; strategic acquirer pays a premium for the platform	+70.3%	25%	14.5% / 2.5%	61%	\$13.33
Wtd. avg	Probability-weighted (25/50/25) → \$5.00 target					\$5.00

Scenario FVs from the note's option-value model (bear \$0.00 / base \$3.52 / bull \$13.33); weighted \$5.09, rounded to the \$5.00 target. Base-case terminal value is 79% of EV (disclosed). Bear case floored at \$0 by limited liability.

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$mn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Repeated dilutive equity raises are near-certain.** Per-share value can fall even if the technology succeeds.
- **Technical risk.** Superconducting qubits may lose to trapped-ion, neutral-atom, or photonic approaches.
- **Competition.** IBM, Google, and well-funded startups with vastly greater resources.
- **Government funding dependence.** A key revenue source, subject to budget and policy shifts.
- **Narrative-driven volatility.** The shares trade on quantum sentiment, enabling sharp drawdowns unrelated to fundamentals.

What would change our mind

Upgrade on demonstrated quantum advantage on a commercially relevant problem with third-party verification — not a press release; non-dilutive funding at scale (a major strategic investment or government program removing the financing overhang); a credible path to product revenue — signed commercial contracts, not research grants — within three years; or acquisition interest at a premium validating the IP's strategic value.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.